Stock Focus

The Lottery Corporation (TLC-ASX)

E&P

Digging into the Victorian Lottery Licence Renewal

Recommendation: Positive

Last price	**AUD4.83**
Valuation	**AUD5.35**

TSR

Upside to valuation	10.7%
Dividend yield	3.6%
Expected total SH return	14.3%

TLC-ASX share price history
Source: E&P Research, IRESS



Trading Data

Last price	AUD4.83
Valuation	AUD5.35
12 month range	AUD3.92 - AUD5.32
Market cap ($m)	$10,973
Shares outstanding (m)	2,224.4
Free float (%)	1.0
12 month return (historical)	14.4%

Earnings revisions

	FY24	% chg	FY25	% chg
% change DPS	3,996.6	0.0%	3,687.0	(0.5)%
EBITDA	827.1	0.0%	709.4	(1.9)%
Adj. EPS	18.5	0.0%	15.3	(3.0)%
DPS	18.5	0.0%	13.8	(3.0)%
Val	**AUD5.35**	**0.0%**		

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TLC is viewed as one of the most stable stocks on the ASX, with long-term licences that draw comparison to infrastructure stocks. Of these licences, only one of the major four states expires in the next 25 years (i.e. Victoria in 2028). Thus, we have undertaken a deep dive into what is TLC's most important foreseeable catalyst.

Victorian Licence Valuation

- Of the four major states (VIC, NSW, QLD & SA), Victoria has comfortably the lowest operator margin due to being burdened by the highest tax rate.
- The increased digital penetration has increased TLC's lottery margins, with Victoria the state with the most to gain on a proportional basis.
- We estimate that Victorian EBITDA has increased from ~$37.8m in FY17 (last licence agreement) to ~$108.4m in FY24. However, FY24 was a very favourable outcome for TLC due to lucky Powerball & Oz Lotto jackpot sequences. Hence, it would be more optimal for TLC for the licence to be based on a more normalised FY25 EBITDA.
- Our base case presently is to assume a $500m upfront fee for a 20-year term. This assumption is based on no change to the current tax regime and implies an EBITDA multiple of 5.68x FY25 earnings.

Other Factors

- We also believe the timing of the Victorian Lottery Licence will aid TLC in their discussions for the ongoing federal review of foreign matched lotteries & online Keno. This is because the Victorian government will want to maximise the fee they can get for the licence and is therefore incentivized to push for a federally legislated ban.
- We expect the government will seek a competitive tender process. However, TLC currently has a significant competitive advantage as the incumbent and the beneficiary of economies of scale.

We retain our Positive recommendation with a $5.35/sh valuation on TLC and make no changes to our forecasts at this time. We also transfer primary coverage of TLC to Sam Bradshaw, while Paul Mason will retain secondary coverage responsibilities.

Earnings Forecasts

Yr to Jun (AUD)	24E	25E	26E	27E
EBITDA	827.1	709.4	748.9	773.2
Adjusted Net Profit	411.8	341.4	355.8	361.5
Adj. EPS (c)	18.5	15.3	16.0	16.3
PER (x)	**27.7**	**33.0**	**32.3**	**32.5**
Yield (%)	**3.6**	**2.7**	**2.5**	**2.4**
EV/EBITDA (x)	**16.1**	**18.3**	**18.1**	**17.6**
Valuation (blended)				**AUD5.35**

Source: E&P Research

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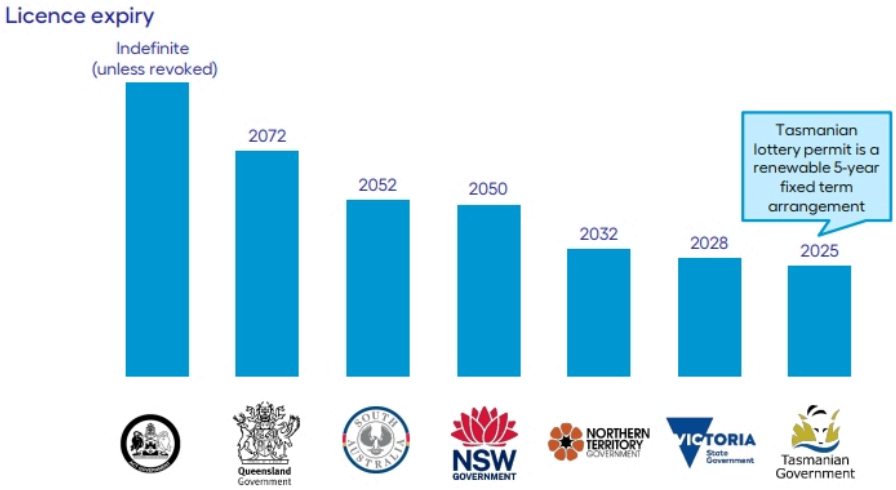
Current Licences

Through various M&A activities, TLC has obtained the lottery licence in all states/territories except WA, which is operated by the government authority LotteryWest. We note that in South Australia, TLC holds a Master Agency Agreement to operate lotteries in South Australia instead of the actual licence.

All states have collaborated to form a consortium known as The Australian Lottery Bloc. This allows the states to offer higher jackpots by pooling prize funds and increases brand consistency.

TLC's average licence length is ~19 years. However, this is impacted by the shorter licences of the small jurisdictions in Tasmania and the NT. If we weight the licence length by turnover, the remaining length is ~24 years. The other short licence is Victoria, which happens to have the lowest margin by a considerable distance (more in the sections below). Consequently, if we weight the licence length by EBITDA, the remaining length is even longer.

Exhibit 1 - TLC Lottery Licences



State	Aus. Capital Territory	Queensland	South Australia	New South Wales	Northern Territory	Victoria	Tasmania
Year issued (Term - years)	2010 (Indefinite unless revoked)	2007 (65)	2012 (40)	2010 (40)	2012 (20)	2018 (10)	2020 (5)

Average remaining licence length 19 years

Source: TLC

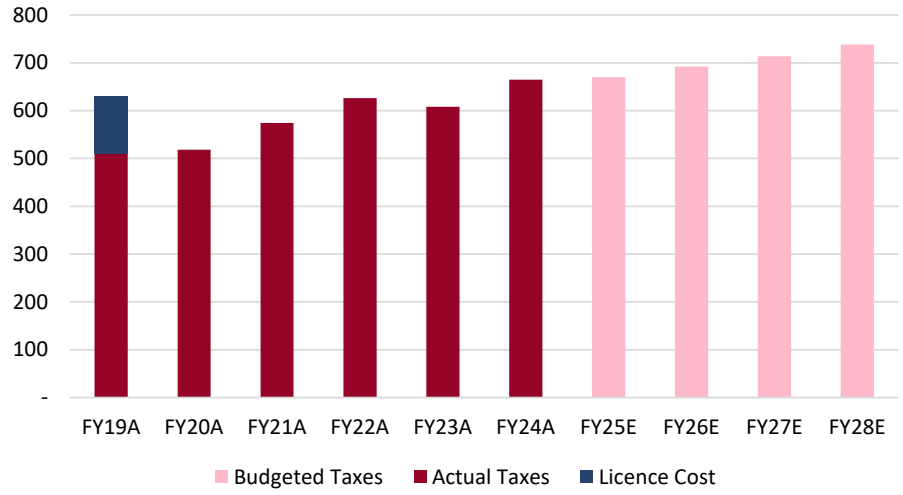
Victorian Licence Valuation

The Government's Perspective

Lotteries Revenue

On 1 June 2017, Tatts Group (now TLC) was awarded a 10-year exclusive lottery licence commencing Jul-18 for $120m. At first glance, the premium payment appears relatively cheap given the scale of the licence. However, the true value of the licence from the government's perspective comes from the tax revenues. At the time of the announcement, the government stated that public lotteries generated $427 million in lottery taxation revenue for Victoria in 2015-16 and will generate approximately $4 billion over the full ten-year licence term.

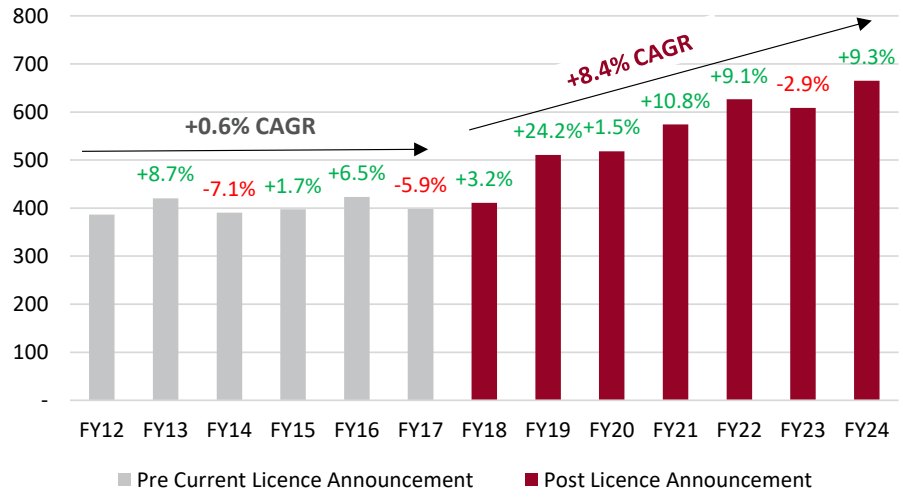
Exhibit 2 - Total Victorian Government Revenue from the Current Licence (A$m)



Source: Victorian Government, VGCCC, Company Data, E&P Estimates

Since then, the revised estimates for the total lotteries' taxation over the course of the licence is ~$6.32bn (+58% higher). Part of the reason for this is the timing of the announcement. Lottery tax growth had effectively stalled and was only marginally higher in FY17 than in FY12 (+0.6% CAGR). Since then, lotteries have experienced a prosperous period of growth of (+8.4% CAGR). Key factors that have contributed to this include the hugely successful Apr-18 Powerball game change, the significant customer adoption during the COVID lockdowns, and the favourable jackpot outcomes in FY24.

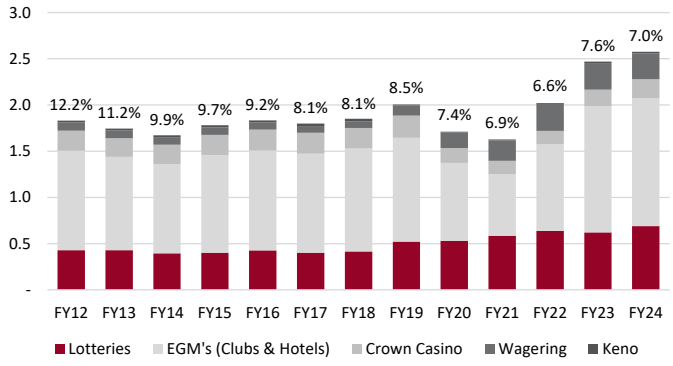
Exhibit 3 - Victorian Lottery Taxes (A$m) - YoY growth as label.



Source: Victorian Government, VGCCC, Company Data, E&P Estimates

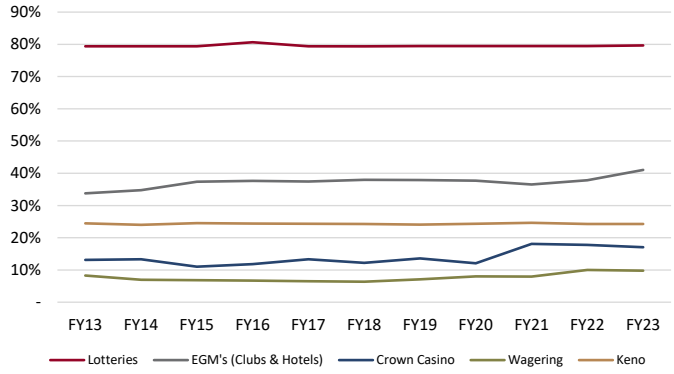
Lottery revenue generates ~2% of the Victorian tax revenue base, with a total of ~7% from overall gambling. Lotteries is also the highest taxed avenue of gambling as a proportion of revenue by a reasonable margin.

Exhibit 4 - Victorian Gambling Tax Revenue (A$bn, label indicates gambling as a % of total tax revenue)



Source: Victorian Government, VGCCC, E&P Estimates

Exhibit 5 - Victorian Gambling Tax as a % of Player Loss

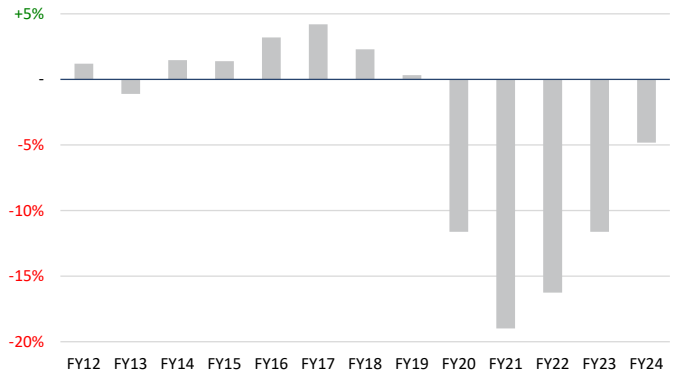


Source: Victorian Government, VGCCC, E&P Estimates

Budget Status

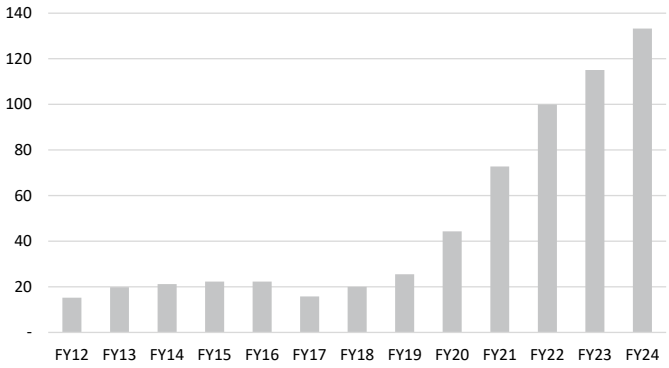
The Victorian budget is also in need of repair after a period of deficits following impacts from the COVID lockdowns and cost blowouts from various infrastructure projects. With many ongoing infrastructure commitments, TLC may raise the idea of offering a higher upfront premium licence cost in exchange for a lower tax rate or a longer licence. In a later section, we will explore the potential trade-offs of this compromise.

Exhibit 6 - Victorian Government Net Result as a % of Revenue



Source: Victorian Government, E&P Estimates

Exhibit 7 - Victorian Government Net Debt (A$bn)



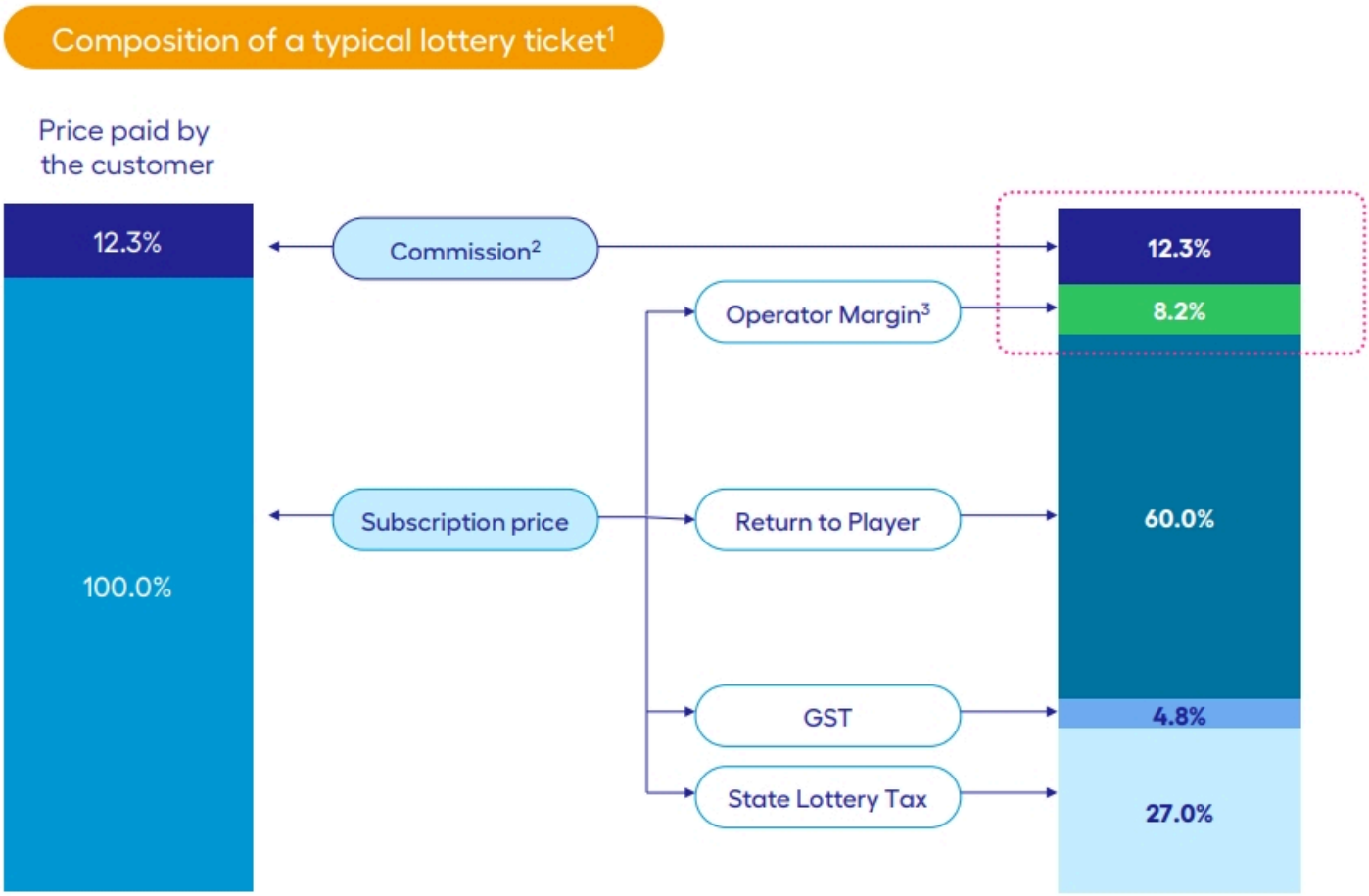
Source: Victorian Government, E&P Estimates

TLC's Perspective

Overall Unit Economics

The typical breakdown of a lottery ticket (bloc games) is illustrated below. The average operator margin per retail ticket is ~8.2% of the subscription price (or 7.3% of the total ticket price).

Exhibit 8 - TLC Lottery Ticket Breakdown



Source: TLC. Note: The Composite of a Lottery Ticket Sale is presented on a blended basis, as each jurisdiction is slightly different.

State Margin Comparison

However, this varies significantly across the states. Of the big 4 states (VIC, NSW, QLD & SA), Victoria has considerably the lowest operator margin (3.5%). This is because Victoria has the highest state taxes at 79.4% of player loss. Victoria also has no GST credit, unlike NSW and QLD. When including the impact of GST, the effective tax rate on player loss (subscriptions less prizes) is 91.3% before factoring in any operating expenses.

This operator margin is actually lower than it was when the licence was announced in FY17 (3.8%). This is a function of the increase in retailer margin from 9.3% to 12.3%, as GST is calculated on player loss plus all retailer commissions.

The other major states have much more favourable operator margins: NSW (8.1%), QLD (9.3%), & SA (18.8%). If we weight these state margins by the proportion of TLC turnover, the weighted average margin is 7.9%. This is close to the 8.2% that TLC illustrated above, with the remaining difference due to the margins from the smaller jurisdictions in TAS, ACT, and NT. We note that these margins exclude retailer fees, which are discussed in a later section.

Exhibit 9 - Comparison of TLC Lottery Margins by State - Operator Margin

		VIC	NSW	QLD	SA
Commissions & Prizes					
Total Ticket Cost		112.3%	112.3%	112.3%	112.3%
Retailer Commission		12.3%	12.3%	12.3%	12.3%
Subscription Price		**100.0%**	**100.0%**	**100.0%**	**100.0%**
Prize Allocation (%)		60.0%	60.0%	60.0%	60.0%
Subscriptions less Prizes or "Player Loss"	**(A)**	**40.0%**	**40.0%**	**40.0%**	**40.0%**
GST					
Player Loss		40.0%	40.0%	40.0%	40.0%
Retailer Commission Allocated		12.3%	12.3%	12.3%	12.3%
Assesable GST Revenue		**52.3%**	**52.3%**	**52.3%**	**52.3%**
Tax Rate (%)		*9.09%*	*9.09%*	*9.09%*	*9.09%*
GST Payable	**(B)**	**4.8%**	**4.8%**	**4.8%**	**4.8%**
State Lottery Taxes					
Player Loss		40.0%	40.0%	40.0%	40.0%
GST Credit		NA	-4.8%	-4.8%	NA
Player Loss less GST Credit		**40.0%**	**35.2%**	**35.2%**	**40.0%**
Tax Rate (%)		*79.4%*	*76.9%*	*73.5%*	*41.0%*
State Taxes Paid	**(C)**	**31.8%**	**27.1%**	**25.9%**	**16.4%**
Operator Margin					
Player Loss	(A)	40.0%	40.0%	40.0%	40.0%
(-) GST Payable	(B)	-4.8%	-4.8%	-4.8%	-4.8%
(-) State Tax	(C)	-31.8%	-27.1%	-25.9%	-16.4%
Operator Margin		**3.5%**	**8.1%**	**9.3%**	**18.8%**
Effective Tax (%) - Total		*91.3%*	*79.7%*	*76.6%*	*52.9%*

Source: Various State Governments & Regulators, ATO, Company Data, E&P Estimates. Note: Assumes bloc game. Excludes the Set for Life annuity prize structure. SA comes through as a Master Agent Fee & includes Keno. Does not include various retailer fees.

If we multiply these operator margins by the various state turnovers, Victoria has the lowest variable contribution of the big four states. If we then assume that the amount of TLC opex is proportional to each state's turnover, then Victoria would essentially generate close to zero EBITDA from the retail licence.

Exhibit 10 - TLC Lottery EBITDA by State in FY24 - Retail Licence based on Operator Margin

	VIC	NSW	QLD	SA
TLC Turnover	7,347.0	7,347.0	7,347.0	7,347.0
State Turnover as a % of AUS ex-WA	*29.5%*	*33.2%*	*24.7%*	*8.1%*
State Turnover	**2,165.8**	**2,436.0**	**1,813.4**	**592.9**
Operator Margin	*3.5%*	*8.1%*	*9.3%*	*18.8%*
Variable Contribution	**75.5**	**198.2**	**169.5**	**111.7**
TLC Opex	-250.6	-250.6	-250.6	-250.6
Proportional Turnover	*29.5%*	*33.2%*	*24.7%*	*8.1%*
Proportional State Opex	**-73.9**	**-83.1**	**-61.9**	**-20.2**
EBITDA	**1.6**	**115.1**	**107.6**	**91.5**

Source: Various State Governments & Regulators, ATO, AGS, Company Data, E&P Estimates.
Note: Assumes bloc game ex SFL. SA comes through as a Master Agent Fee & includes Keno. Excludes various retailer fees.

Retailer Fees

Although TLC's retail margin is 3.5% per the official game rules and legislated taxes, they are able to claw a small portion back from retailer fees. These come in two forms:

- A proportion of subscriptions (typically 2.0% to 2.5% bloc games). These vary by each state and game. Retailers who meet certain performance ratings (mostly compliance measures) are eligible for a 1% charge decrease (most fees will end up being 1.0% to 1.5%).
- One-off fees. These arise from any change in the business (ownership, structure, location, etc), as well as training fees, store fit-outs, and franchise renewal fees.

After adding back these fees, we estimate the retail-only component of the Victorian Lottery Licence would be $35.4m, just 1.63% of total turnover.

Exhibit 11 - TLC Lottery EBITDA by State in FY24 - Retail Licence incl. Retailer Fees

	VIC	NSW	QLD	SA
TLC Turnover	7,347.0	7,347.0	7,347.0	7,347.0
State Turnover as a % of AUS ex-WA	*29.5%*	*33.2%*	*24.7%*	*8.1%*
State Turnover	**2,165.8**	**2,436.0**	**1,813.4**	**592.9**
Operator Margin	*3.5%*	*8.1%*	*9.3%*	*18.8%*
Retailer Fees	*1.6%*	*1.2%*	*1.2%*	*1.7%*
Variable Contribution	**109.3**	**226.2**	**190.4**	**121.6**
TLC Opex	-250.6	-250.6	-250.6	-250.6
Proportional Turnover	*29.5%*	*33.2%*	*24.7%*	*8.1%*
Proportional State Opex	**-73.9**	**-83.1**	**-61.9**	**-20.2**
EBITDA	**35.4**	**143.1**	**128.5**	**101.4**

Source: Various State Governments & Regulators, ATO, AGS, Company Data, E&P Estimates.
Note: Assumes bloc game ex SFL. SA comes through as a Master Agent Fee & includes Keno.

Digital Channel Uplift

Investors may wonder by now, “What's the catch?” or “Why would anyone bid for the licence?”. The answer is that a significant value of the Victorian licence comes from the margin uplift from digital sales.

Digital sales have the potential to earn up to the full 12.3% retail margin uplift if they are direct via The Lott. This makes digital sales up to 4.53x more lucrative before opex per the official game rules and legislated taxes, or ~3.13x after including retailer fees. This was previously 3.47x/~2.39x back in 2017 when the retail commissions were 9.3%.

Australia has a unique retail commission structure for lotteries. In most countries, the retailer commission is paid out as a percentage of the ticket/subscription price (i.e. ticket price = subscription price). In Australia, the retailer commission is on top of the subscription price defined in the game rules. Consequently, an increase in the retailer subscription has minimal impact on TLC's retail margins (only a small increase in GST). Overseas it would be direct cannibalisation of their margin. On the digital side, commission increases are margin-expansive for TLC. In contrast, there would be zero impact on most overseas operators, as they are both the beneficiary and donor of this change.

The effect of this in Australia is that once digital penetration hits a certain level (high single digits), TLC becomes financially aligned with their retail network and becomes a net beneficiary of commission increases. As such, we don't believe it is a complete coincidence that the retailer commission has increased from 9.0% > 9.3% > 10.3% > 12.3% since online sales became prominent.

We believe changing the retailer commission has historically not been too difficult for TLC to obtain government approval for. This is because retailers are still the primary beneficiary (until digital penetration hits >50%). The majority of retailers are small businesses with a high dependence on lotteries and strong union representation. Consequently, Australia's current 12.3% commission is also far higher than most overseas countries, which typically range from 4-8%.

Exhibit 12 - TLC Lottery Margins by Channel

	VIC	NSW	QLD	SA
FY24				
Operator Margin	3.5%	8.1%	9.3%	18.8%
Retailer Commission	12.3%	12.3%	12.3%	12.3%
The Lott Direct Margin	**15.8%**	**20.4%**	**21.6%**	**31.1%**
FY17				
Operator Margin	3.8%	8.2%	9.4%	19.1%
Retailer Commission	9.3%	9.3%	9.3%	9.3%
The Lott Direct Margin	**13.1%**	**17.5%**	**18.7%**	**28.4%**
Change				
Operator Margin	**-0.3ppts**	**-0.1ppts**	**-0.1ppts**	**-0.3ppts**
Digital Margin	**+2.7ppts**	**+2.9ppts**	**+2.9ppts**	**+2.7ppts**

Source: Various State Governments & Regulators, ATO, AGS, Company Data, E&P Estimates.
Note: Assumes bloc game ex SFL. SA comes through as a Master Agent Fee & includes Keno. Excludes various retailer fees. Excludes omni-channel, Jumbo & syndicate commissions.

TLC only earns the full 12.3% commission for digital sales if they are direct via The Lott. We note that some of this margin is distributed to other retailers via the following channels:

- Jumbo sales via ozLotteries.com (see our Jumbo Initiation)
  - TLC withholds 3.0% of the retail commissions and charges a 4.65% service fee.
  - Jumbo currently has ~14% digital market share.
- Omni-channel commissions for digital sales from customers signed up in a retail store.
  - TLC pays out up to 7.0% with some adjustments for various performance & compliance metrics.
  - In FY24, TLC paid $42m in omni-channel commissions. Based on digital turnover of $3,005m, this implies an average of 1.4% of the 12.3% retail margin was paid to retailers.
- In-store syndicates.
  - TLC measures store syndicates as digital turnover despite having retail margins.
  - In FY24, store syndicates generated $130m in turnover. This translates to ~1.8% of the 40.9% total digital penetration.

We suspect that TLC actually wants to pay away a portion of this 12.3% commission. We believe that as online migration scales, governments will question why retailer commissions designed for small businesses are also earned for TLC's direct online channels. This risks the retailer commission being absorbed back into the subscription price and taxed heavily. Hence, TLC needs to pay a portion of this away to other stakeholders.

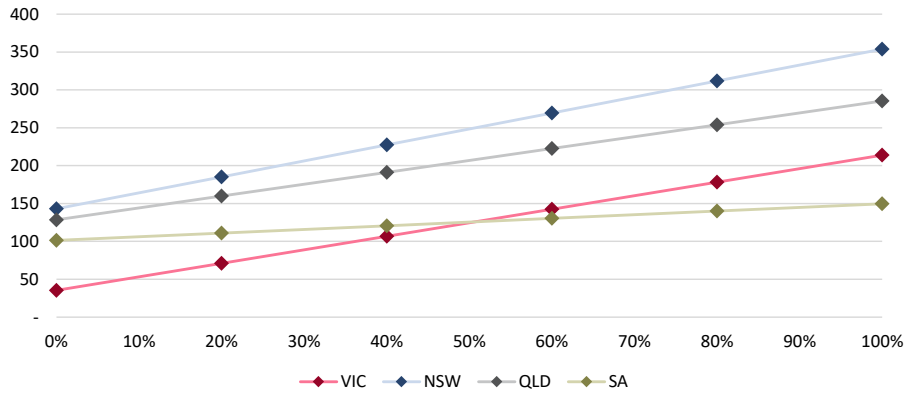
The table and chart below show a sensitivity analysis of the potential Variable Contribution & EBITDA that TLC would generate in each state based on varying levels of digital penetration. The potential upside is quite material, with Victoria being the state with the most to gain on a proportional basis.

Exhibit 13 - TLC Lottery EBITDA based on Digital Penetration - FY24

	VIC	NSW	QLD	SA
State Turnover	**2,165.8**	**2,436.0**	**1,813.4**	**592.9**
Margins				
Retail Margin (incl retailer fees)	5.0%	9.3%	10.5%	20.5%
Digital Margin (after distributions)	13.3%	17.9%	19.1%	28.6%
Variable Contribution based on Digital Penetration				
0%	109.3	226.2	190.4	121.6
20%	145.0	268.3	221.7	131.2
40%	**180.7**	**310.5**	**253.1**	**140.9**
60%	216.3	352.6	284.5	150.5
80%	252.0	394.8	315.8	160.2
100%	287.7	436.9	347.2	169.9
Proportional State Opex	**-73.9**	**-83.1**	**-61.9**	**-20.2**
EBITDA based on Digital Penetration				
0%	35.4	143.1	128.5	101.4
20%	71.1	185.2	159.9	111.0
40%	**106.8**	**227.4**	**191.2**	**120.7**
60%	142.5	269.5	222.6	130.3
80%	178.2	311.7	254.0	140.0
100%	213.9	353.8	285.4	149.6

Source: Various State Governments & Regulators, ATO, AGS, Company Data, E&P Estimates.
Note: Assumes bloc game ex SFL. SA comes through as a Master Agent Fee & includes Keno.

Exhibit 14 - TLC Lottery EBITDA based on Digital Penetration - FY24



Source: Various State Governments & Regulators, ATO, AGS, Company Data, E&P Estimates.
Note: Assumes bloc game ex SFL. SA comes through as a Master Agent Fee & includes Keno.

Licence Terms Revisited & Changes

We previously mentioned that lottery sales have undergone a period of robust growth since the licence was signed in Jun-17 (+72% turnover). Lotteries have also undergone a material increase in digital penetration from 13.7% to 40.9%. These two components, in conjunction with the increase in retailer commission to 12.3%, have led to a significant EBITDA expansion for TLC (2.87x larger).

Media reports at the time suggest that the $120m licence fee implied a 3x EBITDA multiple (i.e. ~40m EBITDA). Based on our calculations of the margins, our maths has resulted in an EBITDA of $37.8m. We believe the difference is likely due to Victoria having slightly higher digital penetration and/or a slightly lower amount of opex as a proportion of turnover. These can be partially justified by the fact that Victoria only had ~21% of the retail outlets but accounted for ~30% of the total turnover.

We note that there are other factors, such as instants and interest on Set For Life deposits, that also have a small impact. Overall, the sum of our calculated EBITDA's from the four major states accounts for on average ~88.5% of TLC's reported EBITDA for FY17 & FY24. We believe these figures would be within the realistic ballpark given the remaining states of TAS, ACT and NT are smaller but have somewhat higher margins.

Exhibit 15 - Change in TLC Victorian Lottery Licence EBITDA from FY17 to FY24

	VIC	NSW	QLD	SA
FY17				
KPI's				
Retail Margin (incl retailer fees)	5.5%	9.5%	10.7%	20.9%
Digital Margin (after distributions)	11.9%	16.3%	17.5%	27.2%
Digital Penetration	13.7%	13.7%	13.7%	13.7%
Financials				
Turnover	**1,261.3**	**1,300.1**	**1,029.6**	**327.3**
Retail Variable Contribution	59.5	106.6	95.3	59.1
Digital Variable Contribution	20.5	29.0	24.7	12.2
Variable Contribution	**80.0**	**135.6**	**120.0**	**71.3**
Proportional State Opex	-42.2	-43.5	-34.4	-10.9
EBITDA	**37.8**	**92.1**	**85.5**	**60.4**
FY24				
KPI's				
Retail Margin (incl retailer fees)	5.0%	9.3%	10.5%	20.5%
Digital Margin (after distributions)	13.3%	17.9%	19.1%	28.6%
Digital Penetration	40.9%	40.9%	40.9%	40.9%
Financials				
Turnover	**2,165.8**	**2,436.0**	**1,813.4**	**592.9**
Retail Variable Contribution	64.6	133.7	112.5	71.9
Digital Variable Contribution	117.7	178.7	142.0	69.5
Variable Contribution	**182.3**	**312.4**	**254.5**	**141.3**
Proportional State Opex	-73.9	-83.1	-61.9	-20.2
EBITDA	**108.4**	**229.3**	**192.7**	**121.1**
FY24 vs. FY17				
KPI's				
Retail Margin (incl retailer fees)	-0.4ppts	-0.2ppts	-0.2ppts	-0.4ppts
Digital Margin (after distributions)	+1.4ppts	+1.6ppts	+1.6ppts	+1.4ppts
Digital Penetration	+27.2ppts	+27.2ppts	+27.2ppts	+27.2ppts
Financials				
Turnover	**+72%**	**+87%**	**+76%**	**+81%**
Retail Variable Contribution	+8%	+25%	+18%	+22%
Digital Variable Contribution	+474%	+516%	+475%	+469%
Variable Contribution	**+128%**	**+130%**	**+112%**	**+98%**
Proportional State Opex	+75%	+91%	+80%	+85%
EBITDA	**+187%**	**+149%**	**+125%**	**+101%**

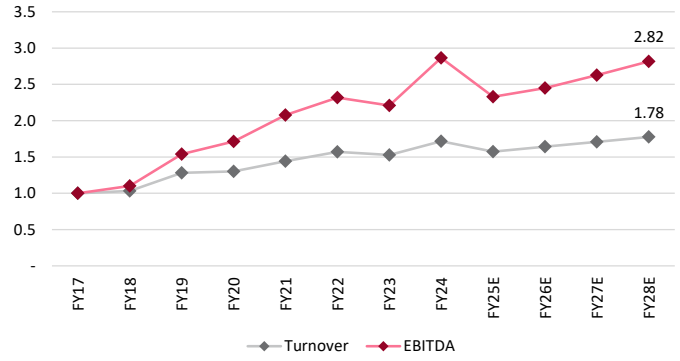
Source: Various State Governments & Regulators, ATO, AGS, Company Data, E&P Estimates.
Note: Assumes bloc game ex SFL. SA comes through as a Master Agent Fee & includes Keno.

Valuation

Perspective Matters

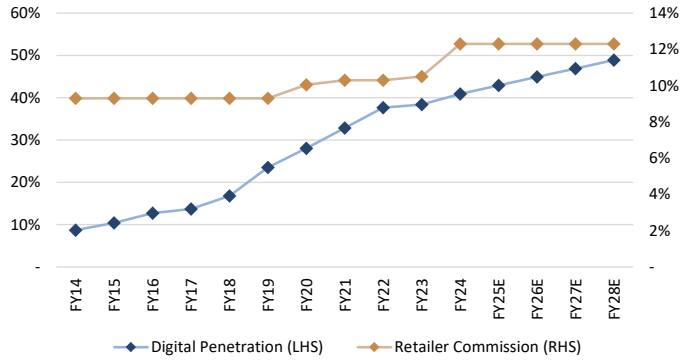
When indexed to 2017, EBITDA has significantly outpaced turnover due to digital penetration & retailer commission increases. This is an important distinction to make because the government revenue will largely mirror turnover, not EBITDA. Therefore, when it comes time to value the next licence, will the government see it from the perspective of how much turnover has increased or EBITDA?

Exhibit 16 - Victorian Lottery Licence Turnover & EBITDA Index (FY17 = 1.0)



Source: Various State Governments & Regulators, ATO, AGS, Company Data, E&P Estimates.

Exhibit 17 - TLC Digital Penetration & Retailer Commissions



Source: Company Data, E&P Estimates

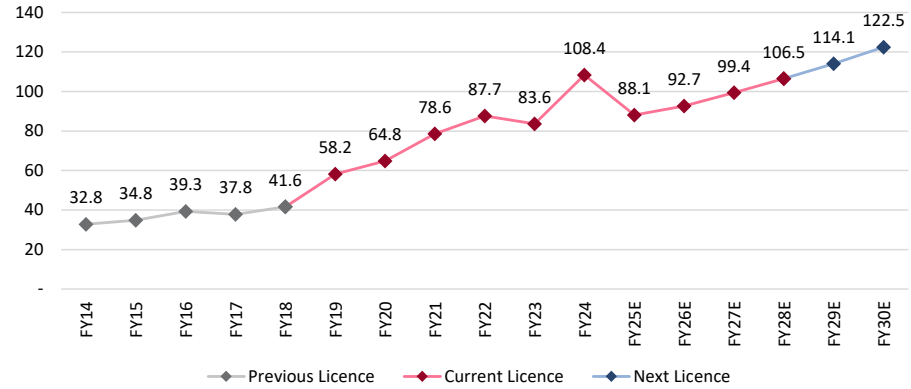
Timing Matters

Another factor to consider when evaluating the licence is timing. We previously mentioned how the timing of the last licence was after a period of slower growth, potentially aiding TLC in negotiating a lower price. Not only has TLC had significant EBITDA growth over the past seven years, but they are also coming off a year of very lucky jackpot sequences for Powerball and Oz Lotto (86th/79th percentiles) that resulted in record turnover (see our FY24 preview note). Thus, negotiating a new licence extension based on FY24 results may lead to an unfavourable outcome.

In contrast, FY25 has had a much unluckier start. We estimate that Powerball and Oz Lotto were in the 22nd/39th percentile (see our 1H25 preview note). Hence, an "unfavourable" year may actually benefit TLC in negotiations despite normally representing lost earnings. That said, TLC accelerated the Powerball sequence multiple times in 1H25 in an attempt to offset some of this bad luck.

Furthermore, TLC has guided to a significant ramp-up in opex for FY25 (~9.0%). Of this $27m, TLC flagged ~$12m for final separation costs from the Tabcorp demerger. Overall, this amount would result in a much higher opex as a % of turnover than the past few years (~4% vs. ~3.3%).

Exhibit 18 - Victorian Lottery Licence EBITDA (A$m)



Source: Various State Governments & Regulators, ATO, AGS, Company Data, E&P Estimates.

Price Range

We expect TLC will push for two potential variations to the licence at the expense of a greater upfront cheque:

- A longer licence length.
- A lower tax rate.

Below we have shown the potential range of prices for an extension based on the tax rate & the EBITDA multiple applied. We have used the FY25 expected EBITDA instead of the FY24 EBITDA, which from TLC's perspective is ~$20.3m less. If we were to assume the previous metrics (3.0x EBITDA & 79.4% tax rate with no GST credit), then the new cost would be ~$264m.

Exhibit 19 - Victorian Lottery Licence Price (A$m) Scenario Analysis based on FY25 EBITDA

		EBITDA MULTIPLE							
		3.00x	4.00x	5.00x	6.00x	7.00x	8.00x	9.00x	10.00x
	79.4%	$264	$352	$441	$529	$617	$705	$793	$881
TAX RATE	70.0%	$488	$651	$813	$976	$1,139	$1,302	$1,464	$1,627
	72.0%	$440	$587	$734	$881	$1,028	$1,175	$1,321	$1,468
	74.0%	$393	$524	$655	$786	$917	$1,048	$1,179	$1,310
	76.0%	$345	$460	$575	$691	$806	$921	$1,036	$1,151
	78.0%	$298	$397	$496	$595	$695	$794	$893	$992
	80.0%	$250	$333	$417	$500	$584	$667	$750	$834

Current Licence

Source: Various State Governments & Regulators, ATO, AGS, Company Data, E&P Estimates.

Tax Changes

A hypothetical change that TLC could suggest would be a “GST credit”. This is a credit that both NSW & QLD benefit from. For Victoria, a GST credit would lower TLC's total effective tax on player loss from 91.3% to 81.8%. Although this would retain Victoria as the highest taxing state, this would increase FY25 EBITDA by ~85.0%.

Exhibit 20 - Hypothetical GST Tax Credit on Victorian Lottery Licence - FY25

		VIC	NSW	QLD	SA
Commissions & Prizes					
Total Ticket Cost		112.3%	112.3%	112.3%	112.3%
Retailer Commission		12.3%	12.3%	12.3%	12.3%
Subscription Price		**100.0%**	**100.0%**	**100.0%**	**100.0%**
Prize Allocation (%)		60.0%	60.0%	60.0%	60.0%
Subscriptions less Prizes or "Player Loss"	**(A)**	**40.0%**	**40.0%**	**40.0%**	**40.0%**
GST					
Subscriptions Less Prizes		40.0%	40.0%	40.0%	40.0%
Retailer Commission Allocated		12.3%	12.3%	12.3%	12.3%
Assesable GST Revenue		**52.3%**	**52.3%**	**52.3%**	**52.3%**
Tax Rate (%)		*9.09%*	*9.09%*	*9.09%*	*9.09%*
GST Payable	**(B)**	**4.8%**	**4.8%**	**4.8%**	**4.8%**
State Lottery Taxes					
Player Loss		40.0%	40.0%	40.0%	40.0%
GST Credit		-4.8%	-4.8%	-4.8%	NA
Player Loss less GST Credit		**35.2%**	**35.2%**	**35.2%**	**40.0%**
Tax Rate (%)		*79.4%*	*76.9%*	*73.5%*	*41.0%*
State Taxes Paid	**(C)**	**28.0%**	**27.1%**	**25.9%**	**16.4%**
Operator Margin					
Player Loss	(A)	40.0%	40.0%	40.0%	40.0%
(-) GST Payable	(B)	-4.8%	-4.8%	-4.8%	-4.8%
(-) State Tax	(C)	-28.0%	-27.1%	-25.9%	-16.4%
Operator Margin		**7.3%**	**8.1%**	**9.3%**	**18.8%**
Effective Tax (%) - Total		*81.8%*	*79.7%*	*76.6%*	*52.9%*
KPI's					
Retail Margin		8.8%	9.3%	10.5%	20.5%
Digital Margin		16.8%	17.7%	18.9%	28.4%
Digital Penetration		42.9%	42.9%	42.9%	42.9%
Financials					
Turnover		**1,983.3**	**2,230.8**	**1,660.7**	**543.0**
Retail Variable Contribution		99.5	117.9	99.3	63.5
Digital Variable Contribution		143.0	169.3	134.6	66.1
Variable Contribution		**242.6**	**287.1**	**233.9**	**129.6**
Proportional State Opex		-79.6	-89.5	-66.6	-21.8
EBITDA		**163.0**	**197.6**	**167.2**	**107.8**
FY25 - Base		88.1	197.6	167.2	107.8
Uplift		**+85.0%**	**-**	**-**	**-**

Source: Various State Governments & Regulators, ATO, AGS, Company Data, E&P Estimates.
Note: Assumes bloc game ex SFL. SA comes through as a Master Agent Fee & includes Keno.

Licence Length

We believe that TLC may raise the idea of offering a higher upfront premium licence cost in exchange for a lower tax rate or a longer licence. Given the recently signed Keno & Retailing Wagering Licences were both increased from 10/12 years to 20 years (discussed below), we believe the government may be receptive.

TLC currently has a reported Net Debt to EBITDA of 2.6x. This is well below their target range of 3.0x to 4.0x. We estimate that it would take a one-off payment of ~$350m/~$850m to reach either end of this range. Furthermore, we do not expect TLC to have any major cash outlay for many years (in Australia at least) given the licence expiration of the other major states.

Our base case presently is to assume a $500m upfront fee for a 20-year term. This assumption is based on no change to the current tax regime and implies an EBITDA multiple of 5.68x FY25 earnings. On a relative basis, this would be similar to the 3x from 2017 when considering the licence term is double but after factoring in the time value of money consideration.

Other Factors

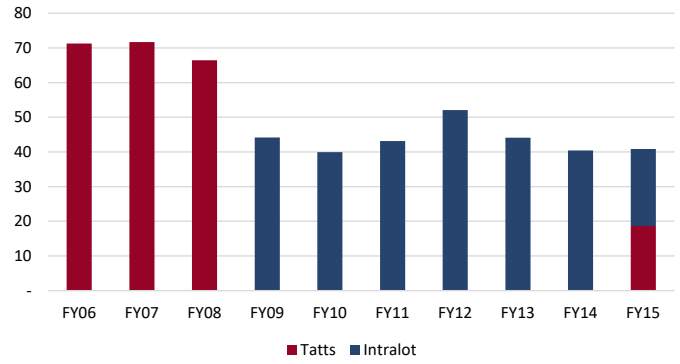
Previous Victorian Gaming Licences

Based on the following three case studies, we believe that the most likely scenario is a 20-year monopoly licence. We also believe that TLC as the incumbent operator will have an advantage over rival bids.

2008 Lottery Licence

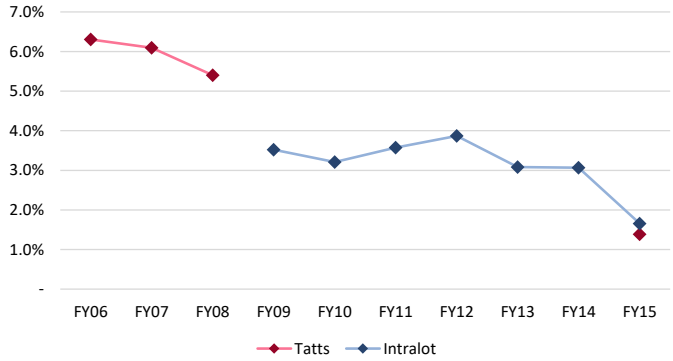
- In Oct-07, the Victorian government granted two lottery licences to Tatts & Intralot for a period of ten years.
  - Tatts would hold a Category 1 Licence to run the bloc games, and Intralot would hold a Category 2 Licence to conduct daily Keno and Instant Scratch-Its.
  - This dual-licence structure ended Tatts' 54-year monopoly.
  - The licence fee was $19m for Tatts & $12m for Intralot.
  - The government was determined to have a competitive tender process. They stated that "this competition will ensure a better return to Victoria over the next 10 years than if an exclusive licence had been awarded to one company."
- The dual-licence setup failed miserably.
  - Intralot recorded $63.4 million in losses across seven years of Victorian operations.
    - Tatts were very firm in restricting the sale of Intralot products by enforcing their "dedicated retail area."
    - Intralot's technology was criticized by retailers as slow or faulty.
  - Intralot voluntarily surrendered back its licence to the government in Oct-14.
    - It was subsequently granted to Tatts in Feb-15 through an amendment to its existing Category 1 lottery licence.
- Overall no one was happy with the outcome.
  - Intralot launched a lawsuit in the Supreme Court against the state government to reclaim losses and damages.
  - Lottery retailers were frustrated with lower sales. The dual licence setup also required two separate technology systems, training requirements, and lines of oversight.
  - The Victorian government ended up generating less tax revenue.
  - The bidding process and outcome were generally considered controversial, with retired Federal Court judge Ron Merkel raising concerns about the involvement of various lobbyists.

Exhibit 21 - Victorian Instant Sales (A$m)



Source: Victorian Government Gazette, E&P Estimates

Exhibit 22 - Victorian Instant Sales as a % of Total Lottery Sales



Source: Victorian Government Gazette, E&P Estimates

2022 Keno Licence

- Despite the previous failure of issuing a dual licence for lotteries, Victoria issued both Tabcorp (the incumbent) & LottoLand a 20-year Keno licence.
  - Tabcorp paid $25m & Lottoland paid $75m.
  - The previous licence was 10 years.
  - The announcement came just three years after Lottoland was criticized by various state governments and ultimately banned at the federal level for running its primary synthetic lottery product.
  - The licence process was later subject to an independent review panel. The panel found there was no basis for any adverse report.
- The major change was that the two companies would both be able to provide online Keno for the first time.
  - LottoLand has heavily marketed its KenoGo app via a $40m jackpot offering.
  - Online Keno is currently the subject of a federal review (discussed in a later section).

2023 Wagering Licence

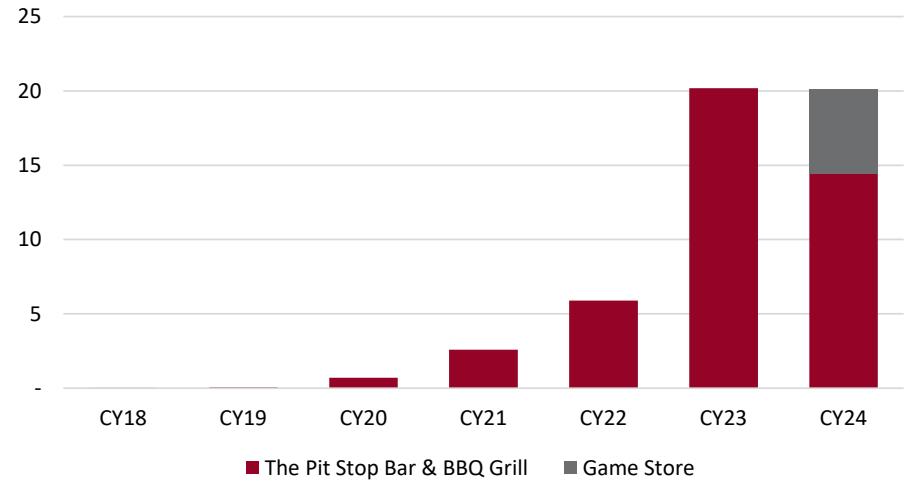
- In the same year as the Keno licence, the Victorian government issued a monopoly licence to operate retail wagering despite rumours of a potential omni-channel licence.
  - The incumbent Tabcorp was awarded a 20-year licence. The previous licence was 12 years.
  - Tabcorp paid an upfront $600 million fee and $30 million annually over 19 years, taking the total payment to $1.2 billion.
  - Media reports indicate that SportsBet's offer for the licence was higher than Tabcorp's, though it may have included a smaller upfront payment and spread up to $1.5bn in total payments over time.

Review into Foreign Matched Lotteries & Online Keno

Last year we undertook a deep dive into primary foreign matched lottery operator The Lottery Office (see here). The government has since launched a federal review into the impact of online keno and foreign-matched lotteries.

We estimate that had the sales generated by The Lottery Office been in TLC-run lotteries, then the Victorian government alone would have generated an extra $9m in taxes for both CY23 & CY24.

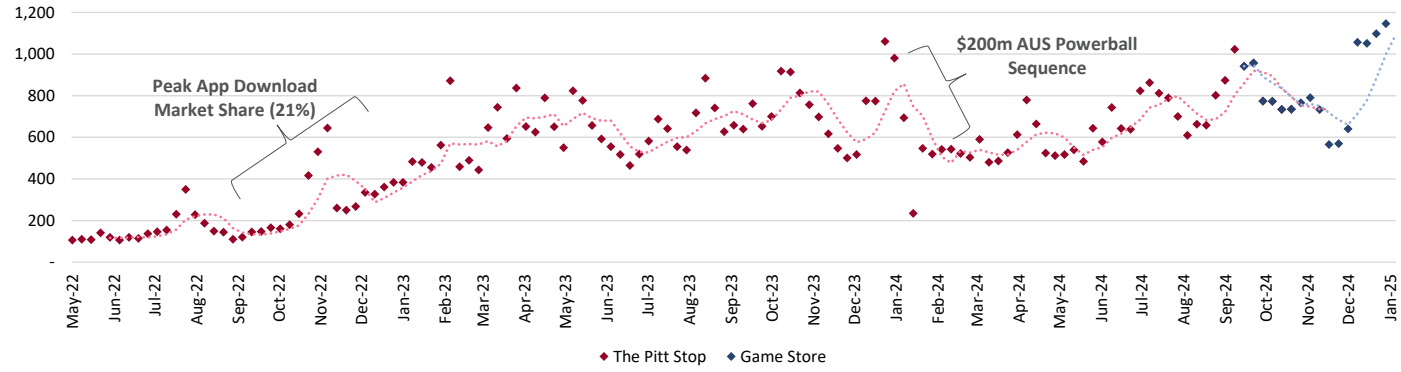
Exhibit 23 - The Pit Stop Sports Bar & BBQ Grill + Game Store Lottery Sales (US $m)



Source: Oregon Lottery, E&P Estimates

The Lottery Office sales appear to have stabilised over the past few years following a rapid expansion in late CY22.

Exhibit 24 - The Pit Stop Sports Bar & BBQ Grill + Game Store Weekly Lottery Sales divided by the US Powerball & Mega Millions Jackpots (US$m)



Source: Oregon Lottery, US Powerball, US Mega Millions, E&P Estimates. Note: US Jackpots are are the average combined size throughout the given week.

We believe the timing of the Victorian Lottery Licence will aid in their discussions for the ongoing federal review.

- TLC is naturally pushing for a ban on foreign matched lotteries.
  - TLC have their own online Keno but are facing increasing competition. Online Keno revenue is also small in the scheme of TLC's overall business.
- For the Victorian government, they will want to maximise the fee they can get for the licence.
  - The licence is more attractive if foreign matched lotteries are banned. Hence, they can ask for a higher fee.
  - Therefore, we believe that of all the states, Victoria is the most incentivized to push for a federally legislated ban.

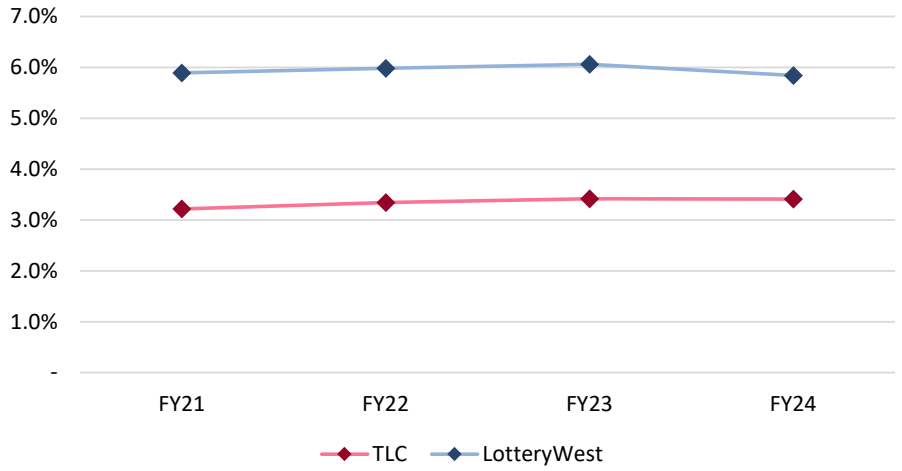
Why TLC is the Short Odd's Favorite

TLC Advantages

Our understanding is that the Victorian government will want the awarding of the licence to at least have the appearance of a competitive tender process. That said, we believe TLC has a significant advantage over its competitors:

- Economies of scale. TLC is able to spread their opex and technology costs across all of Australia (ex-WA). New entrants seeking economies of scale would need to wait until 2050 to bid for the next major lottery licence (NSW).
- The shorter licences are less attractive for competitors. Operators will not want to invest in infrastructure if there is a risk that their licence will not be renewed down the track.
- TLC is the incumbent and has performed well. This is important for continuity from the states' perspectives. The Victorian government is less inclined to risk their stable tax revenue given their budget situation. Technically the government is an even larger stakeholder in lotteries than TLC itself.
- TLC pool prize funds across states to offer larger prizes and attract more customers (Lottery Bloc). We are unsure what commercial agreements would arise if a rival bid won the licence, although we note that LotteryWest are part of the Bloc.
- TLC already has an existing database of registered customers & existing brands that are nationally recognised.
- There are no other major private lottery providers that have B2C operators in Australia. We note that the major providers all have a B2B presence via Instants, WA B2B (Intralot), & New Zealand B2B (SciGames).
- TLC likely has the backing of smaller stakeholders at the moment. Jumbo will back them to maintain their reseller agreement. Retailers also view TLC favourably at the moment given the recent increase in retailer and omni-channel commissions.

Exhibit 25 - Lotteries Opex as a % of Turnover



Source: Company Data, LotteryWest, E&P Estimates

Competitors

We believe the following companies could launch a potential bid for the Victorian Licence (non-exhaustive list):

- IGT - IGT is the primary B2B lottery provider in Italy and offers B2C in numerous other jurisdictions such as the US.
- SciGames - Along with IGT, SciGames are another world-leading B2B technology provider. They were recently appointed by Lotto NZ to overhaul their technology systems.
- Intralot - Provides various B2B & B2C lottery services globally. Currently, provide LotteryWest's technology solution, hold the Victorian Gaming Machine Monitoring Licence, and were rumoured to be a late bidder for the recent Victorian Retail Wagering Licence.
- FDJ - Currently operates the French National Lottery Licence. Recently acquired the Irish licence as well in 2023 via the acquisition of Premier Lotteries Ireland.
- Allwyn - Recently took over the UK National Lottery Licence in Feb-24.

The Lottery Corporation, Positive, VALUATION AUD5.35

EAP CORE DRIVERS

- Lotteries defensive characteristics & monopolistic licences creating assets akin to infrastructure
- Underlying performance & innovation of lottery games
- Stakeholder management including government (taxes) & the retailers (commissions)

INVESTMENT THESIS

- Lotteries online sales growth, driving incremental revenue growth and margin expansion
- Potential exclusion from advertising ban given lower problem gambling risk
- Likely to Secure VIC Lotteries Licence extension (expires 2028)
- Strong FCF generation warranting a premium multiple



FINANCIAL SUMMARY

The Lottery Corporation				TLC-ASX	
As at:	28/01/2025			Recommendation:	Positive

Year end	Jun	2024E	2025E	2026E	2027E
INCOME STATEMENT					
Total Operating Income/Revenue		3,996.6	3,687.0	3,885.1	3,995.2
EBITDA		827.1	709.4	748.9	773.2
D&A		(108.3)	(109.9)	(120.9)	(130.9)
EBIT		718.8	599.5	628.0	642.3
Net Interest Expense		(108.1)	(101.8)	(109.7)	(115.9)
PBT		600.2	487.7	508.3	516.4
Tax expense		(188.4)	(146.3)	(152.5)	(154.9)
NPAT attributable to s'hers		**411.8**	**341.4**	**355.8**	**361.5**
Adjusted Net Profit		411.8	341.4	355.8	361.5
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
BALANCE SHEET					
Assets					
Current Receivables		47.7	72.9	74.8	77.0
Other Current Assets		212.7	212.7	212.7	212.7
Total Current Assets		706.3	975.8	613.3	779.4
Property Plant & Equipment		157	157	157	157
Intangibles		845.5	811.5	1,266.6	1,211.7
Other Non-Current Assets		565.3	565.3	565.3	565.3
Total Non-Current Assets		3,657.9	3,623.9	4,079.0	4,024.1
Total Assets (BS)		4,364.2	4,599.7	4,692.3	4,803.5
Liabilities					
Total Current liabilities		1,013.4	1,214.9	1,242.0	1,271.0
Long Term Debt		2,391.1	2,391.1	2,391.1	2,391.1
Total Non-Current Liabilities		2,987.7	2,987.7	2,987.7	2,987.7
Total Liabilities		4,001	4,203	4,230	4,259
Total Shareholders' Equity		363.1	397.1	462.7	544.9
Net Assets		363.1	397.1	462.7	544.9
Net Tangible Assets		(2,565.6)	(2,497.6)	(2,887.2)	(2,750.0)
Book Value		363.1	397.1	462.7	544.9
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
OPERATING CASH FLOWS					
EBITDA		827.1	709.4	748.9	773.2
Change in Working Capital		(42.2)	176.3	25.2	26.8
Other Operating Cashflow		0.0	0.0	0.0	0.0
Gross Operating Cash Flow		**784.9**	**885.8**	**774.0**	**800.0**
Net interest paid		(105.7)	(111.8)	(119.7)	(125.9)
Tax Paid		(186.4)	(146.3)	(152.5)	(154.9)
Net Operating Cash Flows		**492.8**	**627.6**	**501.8**	**519.3**
Investing Cash Flows					
Purchase of PP&E		0.0	(38.7)	(38.7)	(38.7)
Other Investing Cashflows		(19.1)	0.0	0.0	0.0
Total Investing CashFlow		**(87.6)**	**(76.0)**	**(576.0)**	**(76.0)**

Source: Company data, E&P estimates

Share Price:	AUD4.83

Year end	Jun	2024E	2025E	2026E	2027E
FINANCING CASH FLOWS					
Proceeds from Borrowings		0.0	0.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(43.6)	0.0	0.0	0.0
Distributions		(270.0)	(307.4)	(290.2)	(279.3)
Total Financing Cash Flow		**(393.8)**	**(307.4)**	**(290.2)**	**(279.3)**
Net Change in Cash		11.4	244.3	(364.4)	164.0
Free Cashflow		492.8	589.0	463.2	480.6
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
PER SHARE DATA					
EPS - Adjusted (cents)		18.5	15.3	16.0	16.3
DPS (cents)		18.5	13.8	13.0	12.6
Cash Flow Per Share (cents/share)		22.1	26.5	20.8	21.6
Book Value ($/sh)		16.3	17.9	20.8	24.5
NTA Per Share ($/sh)		(115.3)	(112.3)	(129.8)	(123.6)
Year end	**Jun**	**2024E**	**2025E**	**2026E**	**2027E**
ANALYSIS					
EBITDA Margin (%)		20.7	19.2	19.3	19.4
EBIT Margin (%)		18.0	16.3	16.2	16.1
Net Profit Margin (%)		10.3	9.3	9.2	9.0
Capital Employed		2,308.3	2,098.0	2,528.0	2,446.2
Return on Capital Employed (%)		31.3	27.2	27.2	25.8
EBITDA/Capital Employed (%)		36.0	32.2	32.4	31.1
ROE %		**131.2**	**89.8**	**82.8**	**71.8**
Net Debt/Equity (%)		535.7	428.3	446.4	349.0
Net Debt/Net Debt & Equity (%)		84.3	81.1	81.7	77.7
Net Debt/EBITDA (x)		2.4	2.4	2.8	2.5
Net Interest Cover (x)		5.7	4.7	4.6	4.7
GOCF/EBITDA (%)		0.9	1.2	1.0	1.0
Total Capex/Sales (%)		1.7	2.1	14.8	1.9
Working Capital/Sales (%)		(0.2)	(0.3)	(0.3)	(0.3)
D&A/PP&E (%)		69.2	70.2	77.2	83.6
EV/EBITDA (x)		16.1	18.3	18.1	17.6

BLENDED VALUATION		
Valuation - DCF	5.35	1.0%
Valuation - Capitalisation of Earnings	0.00	0.0%
Valuation - PER	0.00	0.0%
Valuation - SOTP	0.00	
Valuation	AUD5.35	

RESEARCH RECOMMENDATION DEFINITIONS

Positive	Stock is expected to outperform the S&P/ASX 200 over the coming 24 months.
Neutral	Stock expected to perform in line with the S&P/ASX 200 over the coming 24 months.
Negative	Stock is expected to underperform the S&P/ASX 200 over the coming 24 months.
Speculative Buy	Stock has limited history from which to derive a fundamental investment view or its prospects are highly dependent on event risk, e.g. Successful exploration, scientific breakthrough, high commodity prices, regulatory change, etc. Consequently, the stock is considered a high-risk investment which may be prone to high volatility in share price movements, have a greater risk of capital loss and/or the stock may have low liquidity.
Suspended	Stock is temporarily suspended due to compliance with applicable regulatory and/or E&P policies in circumstances where E&P is acting in an advisory capacity.
Not Rated	Stock is not included in our investment research universe.

Research Criteria Definitions

Recommendations are primarily determined with reference to how a stock ranks relative to the S&P/ASX 200 on the following criteria:

Valuation	Composite of Rolling 12-month prospective multiples and discounted cash flow (DCF), or DCF for resource stocks.
Earnings Outlook	Forecast 2-year EPS growth.
Earnings Momentum	Percentage change in the current consensus EPS estimate for the stock (rolling 1-year forward basis) over the consensus EPS estimate for the stock 3 months ago.
Shareholder Returns	Composite of forecast ROE (rolling 1-year forward basis) and the percentage change in ROE over 2 years.
Debt Servicing Capacity	Rolling 12-month EBIT Interest Cover ratio.
Cyclical Risk	Qualitative assessment of the 2-year outlook for a stock/industry's profit cycle.
Industry Quality	Qualitative assessment of an industry's growth/returns potential and company specific management capability.
Financial Transparency	If we don't understand it, we won't recommend it.

For stocks where Evans and Partners does not generate its own forecasts, Bloomberg consensus data is used. Analysts can introduce other factors when determining their recommendation, with any material factors stated in the written research where appropriate.

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